

Zoning Reform and Rents

The relationship between municipal zoning reform and observed rental prices remains contested in the literature. Freeman and Schuetz argue that upzoning produces measurable price relief only where permitting throughput also increases, a caveat frequently omitted in policy summaries. Their panel covers eleven metropolitan areas between 2004 and 2019.

A competing reading, advanced by Rodriguez, holds that the observed effects are largely compositional. Neighbourhoods that upzone tend already to be experiencing demand pressure, so the apparent price increase reflects selection rather than causation. Disentangling the two requires either an instrument or a policy discontinuity, and both are scarce.

My own view is that the disagreement is smaller than it appears. Both camps accept that supply elasticity matters; they differ on the lag structure. Freeman assumes adjustment within three years, Rodriguez within seven. Given typical construction timelines in the sampled cities, seven seems the safer assumption, though I concede the point is not settled.